

2025–2026 Competitive Events Guidelines

Accounting



Accounting challenges competitors to demonstrate their understanding of fundamental accounting principles through an objective test. This event introduces members to key concepts such as financial statements, journal entries, and the accounting cycle, encouraging exploration of careers in accounting and finance.

Event Overview

Division	High School
Event Type	Individual
Event Category	Objective Test
Event Elements	50-minute test, 100-multiple choice questions

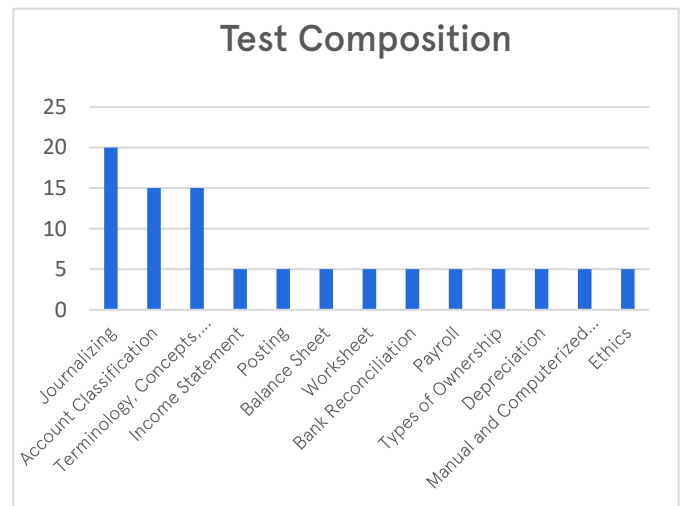
Educational Alignments

Career Cluster Framework Connection	Financial Services
NACE Competency Alignment	Career & Self-Development, Critical Thinking, Professionalism, Technology

This event is designed for students who are in the early stages of learning accounting. To be eligible, members must have completed no more than two traditional semesters of high school accounting instruction, or the equivalent of one full year under a block schedule, by May 1, 2026.

Knowledge Areas

- Journalizing
- Account Classification
- Terminology, Concepts, and Practices
- Income Statement
- Posting
- Balance Sheet
- Worksheet
- Bank Reconciliation
- Payroll
- Types of Ownership
- Depreciation
- Manual and Computerized Systems
- Ethics



Test questions are based on the knowledge areas and objectives outlined for this event. Detailed objectives can be found in the study guide included in these guidelines.

2025–2026 Competitive Events Guidelines

Accounting



District/Region/Section

Check with your District/Region/Section leadership for District/Region/Section-specific competition information and deadlines.

State

Check with your State Leader for state-specific competition information and deadlines.

National

Required Competition Items

<u>Items Competitor Must Provide</u>	<u>Items FBLA Provides On-site</u>
- Sharpened pencil - Fully powered device for online testing - Conference-provided nametag Photo identification - Attire that meets the FBLA Dress Code	- One piece of scratch paper per competitor - Internet access - Test login information (link & password provided at test check-in)

Important FBLA Documents

- Competitors should be familiar with the Competitive Events [Policy & Procedures Manual](#), [Honor Code](#), [Code of Conduct](#), and [Dress Code](#).

Eligibility Requirements

To participate in FBLA competitive events at the National Leadership Conference (NLC), the following criteria must be met:

- Membership Deadline:** FBLA national membership dues must be paid to the specific division by 11:59 p.m. Eastern Time on March 1 of the current school year.
- Repeat Competitors:** Members may only compete in an event at the NLC more than once if they have not previously placed in the top 10 of that event at the NLC. If a member places in the top 10 of an event at the NLC, they are no longer eligible to compete in that event at future NLCs, unless the event has been modified beyond a name change. Chapter events are exempt from this procedure. **Competitors who placed in the top ten in Accounting I at a previous National Leadership Conference are not eligible to compete in this event.**
- Conference Registration:** Members must be officially registered for the NLC and must pay the national conference registration fee to participate.
- Official Hotel Requirement:** To be eligible to compete, competitors must stay within the official FBLA housing block.
- State Entry Limits:** Each state may submit up to four entries per event.
- Event Participation Limits:** Each member may participate in:
 - One individual or team event, and
 - One chapter event (e.g., *Community Service Project* or *Local Chapter Annual Business Report*).
- Participation Requirement:** To be eligible for an award, each competitor must complete all components of the event at the National Leadership Conference.

2025–2026 Competitive Events Guidelines

Accounting



- **Identification at Check-in:** Competitors must present valid photo identification (physical or digital) that matches the name on their conference name badge. Acceptable forms include a driver's license, passport, state-issued ID, or school ID.
- **Late Arrivals:** Competitors will be allowed to compete until such time that the results are finalized, or participation would impact the fairness and integrity of the event, as determined by Competitive Events staff. Five penalty points will be assessed for late arrivals in any competitive event.
- **Event Schedule Notes:**
 - Some events may begin before the Opening Session.
 - All schedules are posted in local time for the NLC host city.
 - Schedule changes are not permitted.

Event Administration

- **Test Duration:** 50 minutes
- **Format:** This event consists of an online objective test that is proctored and completed on-site at the National Leadership Conference (NLC).
- **Materials:** Reference or study materials are not permitted at the testing site.
- **Calculators:** Personal calculators are not allowed; an online calculator will be available within the testing platform.
- **Question Review:** Competitors may flag questions within the testing platform for review prior to the finalization of results at the NLC.

Scoring

- Each correct answer is worth one point.
- No points are deducted for incorrect answers.
- Tiebreakers are determined as follows: (1) The number of correct responses to 10 pre-selected tiebreaker questions will be compared. (2) If a tie remains, the number of correct responses to 20 pre-selected questions will be reviewed. (3) If a tie still remains, the competitor who completed the test in the shortest amount of time will be ranked higher.
- Results announced at the National Leadership Conference are considered official and will not be changed after the conclusion of the National Leadership Conference.

Penalty Points

- Competitors may be disqualified if they violate the Code of Conduct or the Honor Code.
- Five points are deducted if competitors do not follow the Dress Code or are late to the testing site.

Recognition

- The number of competitors will determine the number of winners. The maximum number of winners for each competitive event is 10.

2025–2026 Competitive Events Guidelines

Accounting



Americans with Disabilities Act (ADA)

- FBLA complies with the Americans with Disabilities Act (ADA) by providing reasonable accommodations for competitors. Accommodation requests must be submitted through the conference registration system by the official registration deadline. All requests will be reviewed, and additional documentation may be required to determine eligibility and appropriate support.

Electronic Devices

- Unless approved as part of a documented accommodation, all cell phones, smartwatches, electronic devices, and headphones must be turned off and stored away before the competition begins. Visible devices during the event will be considered a violation of the FBLA Honor Code.

Sample Preparation Resources

- Official sample test items can be found in [CONNECT](#). These sample items showcase the types of questions that may be asked on the test and familiarize competitors with the multiple-choice item options.

2025–2026 Competitive Events Guidelines

Accounting



Study Guide: Knowledge Areas and Objectives

- A. Journalizing
 - 1. Prepare a multi-column journal for recording data.
 - 2. Record transactions, such as accounts receivables and accounts payables, in appropriate journals.
 - 3. Journalize or record business transactions in a journal (e.g., cash receipts, cash payments, purchases, sales, and general).
 - 4. Journalize adjusting and closing entries for a business.
 - 5. Prove and rule journals.
- B. Account Classification
 - 1. Evaluate assets and liabilities to determine their function in an accounting system.
 - 2. Identify asset accounts.
 - 3. Identify liability accounts.
 - 4. Identify capital or owner's equity accounts.
 - 5. Create a chart of accounts to reflect business needs and update as needed.
 - 6. Differentiate among fixed assets, intangible assets, and current assets.
 - 7. Differentiate between current and long-term liabilities.
- C. Terminology, Concepts, and Practices
 - 1. Identify the steps in the accounting cycle.
 - 2. Identify and apply the accounting equation.
 - 3. Maintain knowledge of current financial laws, regulations, and policies to ensure compliance in financial practices.
 - 4. Identify resources to provide information on financial laws, regulations, and policies.
 - 5. Describe the different types of financial statements; explain their purpose and compare the difference.
 - 6. Define general accounting terms such as asset, liability, accounts payable, capital, income, expense, etc.
 - 7. Define double entry accounting, debits, and credits.
 - 8. Describe the purpose of accounting and the role it plays in our economy.
 - 9. Describe the purpose of GAAP.
- D. Income Statement
 - 1. Apply income statement equation to determine revenue and expenses.
 - 2. Prepare an income statement that reports the results of operations for any entity.
 - 3. Interpret the information on an income statement.
- E. Posting
 - 1. Post from journals to a general ledger.
 - 2. Post from journals to a subsidiary ledger.
 - 3. Record the posting in the journal and ledger reference columns.
 - 4. Balance and verify the ledger accounts.
 - 5. Prepare a trial balance.
 - 6. Post adjusting and closing entries.
 - 7. Prepare schedules for subsidiary ledgers.

2025–2026 Competitive Events Guidelines

Accounting



F. Balance Sheet

1. Classify account titles into assets, liabilities, and owner's equity for balance sheet.
2. Prepare a balance sheet that reports the financial condition of the entity.
3. Interpret the information found on a balance sheet.

G. Worksheet

1. Identify information needed in preparation of a worksheet.
2. Record adjustments on the worksheet.
3. Prepare trial balance, income statement, and balance sheet sections of the worksheet.

H. Bank Reconciliation

1. Maintain a check register.
2. Compare checkbook to bank statement.
3. Identify inequalities and make adjusting entry.
4. Prepare a bank reconciliation statement.
5. Journalize banking transactions.

I. Payroll

1. Identify methods used to determine gross earnings (e.g., piece-rate, hourly, commission).
2. Explain the purposes of withholdings and other deductions.
3. Verify time and wage documents (e.g., timecards, etc.).
4. Compute employee gross earnings, deductions, and net pay.
5. Maintain employee earnings record.
6. Journalize payroll transactions.
7. Record payroll earnings and deductions in a payroll register.
8. Prepare payroll checks and vouchers.
9. Complete federal and state employment forms such as W-4, W-2, quarterly reports, and unemployment tax forms.

J. Types of Ownership

1. Identify types of business organizations and functions.
2. Identify business reporting and information flow required for types of ownership.
3. Explain the characteristics associated with corporations.
4. Define the advantages and disadvantages of corporations.
5. Explain the characteristics of partnerships.
6. Define the advantages and disadvantages of partnerships.
7. Explain the characteristics of sole proprietorships.
8. Define the advantages and disadvantages of sole proprietorships.
9. Compare the accounting implications for different types of business ownership.

K. Depreciation

1. Identify the appropriate method for calculating depreciation.
2. Determine depreciations using straight-line, units of production, double-declining balance, and sum of the years' digits.
3. Maintain records for depreciations of plant assets.

2025–2026 Competitive Events Guidelines

Accounting



4. Journalize and post depreciation on plant assets.
- L. Manual and Computerized Systems
 1. Operate appropriate financial software to generate usable data.
 2. Operate electronic spreadsheet software to create formulas and reports.
 3. Adapt accounting and record-keeping functions to current computerized systems.
 4. Use a spreadsheet to prepare payroll, create worksheets, and other reports.
 5. Enter appropriate data and print checks to process payroll.
 6. Identify and review financial management software packages that meet company needs.
- M. Ethics
 1. Identify confidentiality concepts and policies.
 2. Identify characteristics of professional conduct.
 3. Identify and practice good ethical behavior.
 4. Differentiate between good and poor business ethics.
 5. Adhere to established company rules, regulations, and policies.
 6. Identify issues and trends affecting computers and information privacy.
 7. Implement security measures to minimize loss and to create trust (e.g., maintain data security, develop strategies to protect data, etc.).